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Case Number: 26PSCV00472 Hearing Date: June 30, 2026 Dept: G

Defendants

NewRez, LLC and U.S. Bank Trust, N.A.'s Demurrer to First Amended Complaint

Respondent:

Plaintiffs Ling Fong and Diana Fong

Plaintiffs

Ling Fong and Diana Fong's Motion for Leave to File Second Amended Complaint

Respondent:

NO OPPOSITION

TENTATIVE

RULING

Defendants

NewRez, LLC and U.S. Bank Trust, N.A.'s Demurrer to First Amended Complaint is

SUSTAINED IN PART WITH TWENTY (20) DAYS LEAVE TO AMEND and OVERRULED IN PART.

Plaintiffs

Ling Fong and Diana Fong's Motion for Leave to File Second Amended Complaint is deemed MOOT.

BACKGROUND

This

is a wrongful foreclosure action. Plaintiffs

Ling Fong and Diana Fong (the Fongs) allegedly obtained a home equity loan from

nonparty Bank of America, secured with their residential real property. In September 2019, defendant Specialized Loan Servicing LLC (Specialized Loan Servicing) allegedly started servicing the loan instead of Bank of America. On October 19, 2019, Specialized Loan Servicing allegedly executed an assignment of deed of trust to defendant U.S. Bank Trust, N.A. (U.S. Bank) as trustee of MEB Loan Trust IV. Specialized Loan Servicing was allegedly then succeeded-in-interest by defendant NewRez, LLC (NewRez), which allegedly failed to maintain accurate servicing records. In January 2022, the Fongs allegedly discovered that their loan was being serviced by NewRez and not Bank of America. In December 2022, the Fongs allegedly filed for Chapter 13 bankruptcy. Beginning in September or October 2023, the Fongs allegedly paid NewRez directly according to the bankruptcy plan, but NewRez allegedly failed to give the Fongs monthly mortgage statements.

On March 7, 2024, U.S. Bank allegedly appointed defendant Selene Finance LP (Selene) to service the Fongs' loan, and Selene allegedly inherited NewRez's inaccurate servicing records. On March 27, 2024, NewRez allegedly executed an assignment deed of trust to U.S. Bank as trustee of RCAF Acquisition Trust. On April 18, 2024, Selene allegedly recorded a notice of default. On July 15, 2024, Selene allegedly served the Fongs with a foreclosure notice. On July 17, 2024, Selene allegedly recorded a notice of trustee's sale. In October 2024, the Fongs allegedly filed for Chapter 13 bankruptcy again. Beginning in November 2024, the Fongs allegedly paid Selene directly according to the bankruptcy plan, but Selene allegedly failed to give the Fongs monthly mortgage statements for some months and allegedly gave the Fongs contradictory mortgage statements for other months.

On February 9, 2026, the Fongs filed the Complaint. On March 19, 2026, the Fongs filed the operative Amended Complaint, alleging causes of action for (1) violation of the Homeowner Bill of Rights, (2) payoff demands under Civil Code section 2943, (3) wrongful foreclosure and attempted wrongful foreclosure, (4) breach of contract, (5) breach of the implied covenant of good faith and fair dealing, (6) negligence, (7) negligent misrepresentation, (8) fraud by intentional misrepresentation, (9) accounting, (10) declaratory relief, and (11) unfair business practices under the Unfair Competition Law.

On

May 20, 2026, NewRez and U.S. Bank filed a demurrer to amended complaint. On June 15, 2026, the Fongs filed the opposition, and there is no reply.

On June

3, 2026, the Fongs filed a motion for leave to file second amended complaint, which is unopposed.

This

case is set for a case management conference, an order to show cause re: failure to file proof of service, a hearing on the demurrer to amended complaint, and a hearing on the motion for leave to file second amended complaint on June 30, 2026.

REQUESTS

FOR JUDICIAL NOTICE

NewRez

and U.S. Bank request that the court take judicial notice of the records of the United States Bankruptcy Court for the Central District of California and the United States District Court for the Central District of California. The court may take judicial notice of the records of any United States court.

(Evid. Code, § 452, subd. (d)(2).)

Thus,

the court takes judicial notice of the requested records.

DEMURRER

TO AMENDED COMPLAINT

NewRez

and U.S. Bank generally demur to the Amended Complaint and specifically demur to each of the causes of action. For the following reasons, the demurrer is SUSTAINED IN PART WITH LEAVE TO AMEND and OVERRULED IN PART.

General

Demurrers

Legal Standard

A

party may demur on the ground that the claims are barred, as long as the applicability of the bar appears on the face of the pleading or via proper judicial notice. (See *Marshall v.*

Gibson, Dunn & Crutcher (1995) 37 Cal.App.4th 1397, 1403, explaining the rule as it applied to a bar raised by a statute of limitations; see also *Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994, stating that the ground for demurrer must appear on the face of the pleading or via proper judicial notice.)

Discussion

NewRez

and U.S. Bank generally demur to the Amended Complaint based on the applicability of four bars (1) judicial estoppel, (2) lack of standing, (3) res judicata, and (4) lack of jurisdiction.

First

Bar: Judicial Estoppel

NewRez

and U.S. Bank argue that the Amended Complaint is barred by the doctrine of judicial estoppel. The court disagrees.

“Judicial

estoppel precludes a party from gaining an advantage by taking one position, and then seeking a second advantage by taking an incompatible position. The doctrine's dual goals are to maintain the integrity of the judicial system and to protect parties from opponents' unfair strategies. Application of the doctrine is discretionary.

The

doctrine applies when (1) the same party has taken two positions; (2) the positions were taken in judicial or quasi-judicial administrative proceedings; (3) the party was successful in asserting the first position (i.e., the tribunal adopted the position or accepted it as true); (4) the two positions are totally inconsistent; and (5) the first position was not taken as a result of ignorance, fraud, or mistake.” (*Aguilar v. Lerner* (2004) 32 Cal.4th 974, 986–987, cleaned up.)

For

the first, second, and fourth elements, NewRez and U.S. Bank cite the fact that the Fongs “failed to disclose . . . any cause of action against Defendants” in the bankruptcy proceedings but that they assert multiple causes of action in this judicial proceeding. (Dem. Brief, p. 13.) For the third element, however, the Fongs contend that they were not “successful” in their first position because the second bankruptcy proceeding is still ongoing. (Opp. Dem., p. 5.) Moreover, for the fourth element, the Fongs contend that the positions are not totally inconsistent because their causes of action did not accrue until late 2025 and early 2026. (See Opp. Dem., p. 5.)

On this record, the court declines to exercise its discretion to bar the Amended Complaint under the doctrine of judicial estoppel. (See Aguilar, supra, 32 Cal.4th at 986, noting, “Application of the doctrine is discretionary,” internal citation omitted.)

Therefore,
the general demurrer based on judicial estoppel is OVERRULED.

Second

Bar: Lack of Standing

NewRez

and U.S. Bank argue that the Amended Complaint is barred because the Fongs lack standing. The court disagrees.

In

Chapter 7 bankruptcy, a debtor’s pre-petition cause of action becomes property of the bankruptcy estate as of the petition date, even if the debtor fails to list the cause of action as an asset in his bankruptcy schedules. (See *In re Lopez* (Bankr. 9th Cir. 2002) 283 B.R. 22, 28, citing 11 U.S.C. §§ 541; 554, subd. (d).) If an asset is not scheduled, it remains property of the estate until it is administered or abandoned by the trustee, even after the case subsequently closes. (See *In re Lopez*, supra, at 31–32.) In other words, the cause of action is property of the estate and not the debtor. (See *id.* at 28.)

The

Fongs filed for Chapter 13 bankruptcy, not Chapter 7. (AC, ¶¶ 32, 51.) Thus, the court finds the rules governing the ownership of claims that arise from Chapter 7 bankruptcy do not apply to the Amended Complaint. No authority cited precludes a Chapter 13 debtor from asserting a claim.

(See *Moulton Niguel Water Dist. v. Colombo* (2003) 111 Cal.App.4th 1210, 1215, stating that “[c]ontentions are waived when a party fails to support them with reasoned argument and citations to authority.”)

Therefore,

the demurrer based on lack of standing is OVERRULED.

Third

Bar: Res Judicata

NewRez

and U.S. Bank argue that the Amended Complaint is barred by the doctrine of res judicata. The court disagrees.

The

legal principle of res judicata bars a party from relitigating a claim or issue already decided in a previous proceeding. Res judicata may take the form of claim preclusion, barring a cause of action where (1) the present proceeding is on the same cause of action as the prior proceeding; (2) there was a final judgment on the merits; (3) the parties in the present proceeding or parties in privity with them were parties to the prior proceeding. (See *Central Delta Water Agency v. Dept. of Water Resources* (2021) 69 Cal.App.5th 170, 206.) Res judicata may also take the form of issue preclusion, barring the adjudication of an issue where (1) the present proceeding is deciding the same issue as the prior proceeding; (2) there was a final adjudication on the merits; (3) the issue was actually litigated and necessarily decided in the prior proceeding; and (4) the parties in the present proceeding or parties in privity with them were parties to the prior proceeding. (See *DKN Holdings LLC v. Faerber* (2015) 61 Cal.4th 813, 825.)

Even

though the court takes judicial notice of the requested records from the bankruptcy proceedings, NewRez and U.S. Bank do not specify which claims or issues from the bankruptcy proceedings are subject to res judicata. NewRez and U.S. Bank mention proofs of claims and confirmations of bankruptcy plans, but they neither cite specific exhibits

in the request for judicial notice, nor do they explain why specific causes of action or issues in the Amended Complaint are barred. (See Dem. Brief, pp. 13–14.) Without such argument or citation, the court cannot determine whether any claims or issues are barred. (See *Moulton Niguel Water Dist.*, supra, 111 Cal.App.4th at 1215.)

Therefore,
the demurrer based on res judicata is **OVERRULED**.

Fourth
Bar: Lack of Jurisdiction

NewRez
and U.S. Bank argue that the Amended Complaint is barred because the court lacks jurisdiction. The court disagrees.

“Title
28 U.S.C. § 1334(b) vests jurisdiction over bankruptcy matters in the district court by conferring jurisdiction over all civil proceedings arising under title 11. Cases arising under [S]ection 1334(b) are in turn delegated to the bankruptcy courts through 28 U.S.C. § 157.” (In re Franklin (1986) 802 F.2d 324, 326, cleaned up.)

Here,
NewRez and U.S. Bank argue, “any judgment [the Fongs] could obtain in state court regarding the amount or validity of the Loan (and thus the Proof of Claim) would not be binding upon the Bankruptcy Court. [E]ven after conclusion of the First Bankruptcy, the Bankruptcy Court retains jurisdiction over enforcement and interpretation of its own orders such as the confirmation order, discharge order, and interpretation and enforcement of the Chapter 13 Plan.” (Dem. Brief, p. 15, citations omitted.) However, the Fongs’ Amended Complaint does not seek to bind the bankruptcy court in the bankruptcy proceedings. Each of the Fongs’ causes of action arise under state law, and the Amended Complaint even disclaims any federal causes of action. (AC, ¶ 18.)

Therefore,
the demurrer based on lack of jurisdiction is **OVERRULED**.

Specific
Demurrers

Legal Standard

A

party may demur to a complaint on the grounds that it “does not state facts sufficient to constitute a cause of action.”

(Code Civ. Proc., § 430.10, subd. (e).)

A demurrer tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers,

courts accept all well pleaded facts as true.

(Fox v. JAMDAT Mobile, Inc. (2010) 185 Cal.App.4th 1068, 1078.) The court should also draw

reasonable inferences in favor of the pleading subject to demurrer. (Kruss v. Booth (2010) 185 Cal.App.4th 699, 727.) The court should liberally

construe the complaint to bring substantial justice between the parties. (Addiego v. Hill (1965) 238 Cal.App.2d 842, 845.) To sustain a demurrer,

defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins.

Co. (2004) 116 Cal.App.4th 968, 994; SKF Farms v. Super. Ct. (1984)

153 Cal.App.3d 902, 905, stating, “A demurrer tests the pleadings alone and not the evidence or other extrinsic matters.

Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed.”; Hahn, supra, at 747,

stating, “The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action.”)

Discussion

NewRez

and U.S. Bank specifically demur to the causes of action for (1) violation of the Homeowner Bill of Rights, (2) payoff demands under Civil Code section 2943, (3) wrongful foreclosure and attempted wrongful foreclosure, (4) breach of contract, (5) breach of the implied covenant of good faith and fair dealing, (6) negligence, (7) negligent misrepresentation, (8) fraud by intentional misrepresentation, (9) accounting, (10) declaratory relief, and (11) unfair business practices under the Unfair Competition Law.

First

Cause of Action: Violation of the Homeowner Bill of Rights

NewRez

and U.S. Bank argue that the Amended Complaint fails to state sufficient facts to support a cause of action for violation of the Homeowner Bill of Rights. The court agrees.

The

purpose of the Homeowner's Bill of Rights is "to ensure that, as part of the nonjudicial foreclosure process, borrowers are considered for, and have a meaningful opportunity to obtain, available loss mitigation options, if any, offered by or through the borrower's mortgage servicer, such as loan modifications or other alternatives to foreclosure." (Valbuena v. Ocwen Loan Servicing, LLC (2015) 237 Cal.App.4th 1267, 1272, quoting Civ. Code, § 2923.4, emphasis added.) For the purposes of the

Homeowner's Bill of Rights, a borrower is "any natural person who is a mortgagor or trustor and who is potentially eligible for any federal, state, or proprietary foreclosure prevention alternative program offered by, or through, his or her mortgage servicer." (Civ.

Code, § 2920.5, subd. (c)(1).) A

borrower does not include, however, a person "who has filed a case under Chapter 7, 11, 12, or 13 of Title 11 of the United States Code and the bankruptcy court has not entered an order closing or dismissing the bankruptcy case, or granting relief from a stay of foreclosure." (Code Civ. Proc., § 2920.5, subd. (c)(2)(C).)

The

Amended Complaint alleges that the Fongs filed for Chapter 13 bankruptcy in October 2024. (AC, ¶ 51.) NewRez and U.S. Bank contend that the second bankruptcy petition "is still open and active, and thus the [Homeowner's Bill of Rights] does not apply" because the Fongs are not borrowers under Civil Code section 2920.5, subdivision (c)(2)(C). (Dem.

Brief, p. 15, citing Code Civ. Proc., § 2920.5, subd. (c)(2)(C).) In opposition, the Fongs do not argue that the second bankruptcy petition is still ongoing. Instead, they assert that "[t]he bankruptcy pendency exclusion . . . applies to specified loss-mitigation provisions; it does not suspend [Section] 2924.17's independent requirement that recorded foreclosure documents rest on reliable evidence."

(Opp. Dem., p. 8.) However, the

Fongs do not cite any authority to support their assertion, and without such authority, the statute does not consider the Fongs as borrowers who have standing to bring claims under the Homeowner's Bill of Rights. (See Moulton Niguel Water Dist., supra, 111 Cal.App.4th at 1215.)

Therefore,

the demurrer to the first cause of action is SUSTAINED WITH LEAVE TO AMEND. Since leave to amend is granted, the court HOLDS

IN ABEYANCE the parties' arguments based on whether a home equity line of credit may be considered a first lien secured by real property, whether the cause of action is barred by the applicable statute of limitations, whether the Amended Complaint alleges sufficient facts as to NewRez and U.S. Bank's liability, and whether the Amended Complaint alleges sufficient facts as to any material violation.

Second

Cause of Action: Payoff Demands under Civil Code section 2943

NewRez

and U.S. Bank argue that the Amended Complaint fails to state sufficient facts to support a cause of action for payoff demands. The Amended Complaint does not, however, assert the second cause of action against NewRez and U.S. Bank.

Therefore,

the demurrer to the second cause of action is OVERRULED.

Third

Cause of Action: Wrongful Foreclosure and Attempted Wrongful Foreclosure

NewRez

and U.S. Bank argue that the Amended Complaint fails to state sufficient facts to support a cause of action for wrongful foreclosure and attempted wrongful foreclosure. The court agrees.

"The

elements of a wrongful foreclosure cause of action are: (1) The trustee or mortgagee caused an illegal, fraudulent, or willfully oppressive sale of real property pursuant to a power of sale in a mortgage or deed of trust; (2) the party attacking the sale (usually but not always the trustor or mortgagor) was prejudiced or harmed; and (3) in cases where the trustor or mortgagor challenges the sale, the trustor or mortgagor tendered the amount of the secured indebtedness or was excused from tendering." (Citrus El Dorado, LLC v. Chicago Title Co. (2019) 32 Cal.App.5th 943, 948, cleaned up.) There are four exceptions to the tender requirement in the nonjudicial foreclosure context: (1) if the borrower's

action attacks the validity of the underlying debt (since it would constitute an affirmation of the debt); (2) the person who seeks to set aside the trustee's sale has a counterclaim or set-off against the beneficiary; (3) it would be inequitable to impose such a condition on the party challenging the sale; (4) the trustor is not required to rely on equity to attack the deed because the trustee's deed is void on its face.

(Lona v. Citibank, North America (2011) 202 Cal.App.4th 89, 112–113.)

Both

parties note that the Fongs cannot assert a cause of action for wrongful foreclosure because there was no foreclosure sale. (See Dem. Brief, p. 17, noting “no foreclosure sale has occurred”; see also Opp. Dem., p. 9, citing AC, ¶ 174, which alleges that “the foreclosure sale has not been completed.” Thus, the Amended Complaint fails to allege sufficient facts for each element of wrongful foreclosure.

Additionally, the Fongs fail to cite any authority that allows a party to recover for attempted wrongful foreclosure. (See Moulton Niguel Water Dist., supra, 111 Cal.App.4th at 1215.) Until there is a foreclosure sale, a claim for wrongful foreclosure does not accrue. While wrongful conduct before a foreclosure sale may subject a party to liability, the court cannot conclude that a party may be held liable for an attempted wrongful foreclosure.

Therefore,

the demurrer to the third cause of action is SUSTAINED WITH LEAVE TO AMEND. Since leave to amend is granted, the court HOLDS

IN ABEYANCE the parties' arguments based on whether there was any procedural irregularity, whether the Fongs were prejudiced, and whether the Fongs were excused from tendering.

Fourth

Cause of Action: Breach of Contract

NewRez

and U.S. Bank argue that the Amended Complaint fails to state sufficient facts to support a cause of action for breach of contract. The court disagrees.

To

state a cause of action for breach of contract, the plaintiff must be able to establish “(1) the existence of the contract, (2) plaintiff’s performance or excuse for nonperformance, (3) defendant’s breach, and (4) the resulting damages to the plaintiff.” (Oasis West Realty, LLC v. Goldman (2011) 51 Cal.4th 811, 821.) If a breach of contract claim “is based on alleged breach of a written contract, the terms must be set out verbatim in the body of the complaint or a copy of the written agreement must be attached and incorporated by reference.” (Harris v. Rudin, Richman & Appel (1999) 74 Cal.App.4th 299, 307.) In some circumstances, a plaintiff may also “plead the legal effect of the contract rather than its precise language.” (Construction Protective Services, Inc. v. TIG Specialty Ins. Co. (2002) 29 Cal.4th 189, 198–199.)

For

the first element, the Amended Complaint alleges that the Fongs “entered into a written Promissory Note and Deed of Trust . . . secured by the Property,” which is “a valid and enforceable contract.”

(AC, ¶¶ 179–180.) Even though the Amended Complaint does not specifically allege that NewRez and U.S. Bank initially contracted with the Fongs, it alleges that the loan servicers “accept[ed] assignment of the Loan” and “assumed contractual and agency duties. . . .” (AC, ¶ 181; see Fox, supra,

185 Cal.App.4th at 1078, requiring the court to accept all well-plead facts as true.) For the second element, the Fongs

allege that they “made payments . . . to [NewRez]’s legal representative” and “tendered funds under protest.” (AC, ¶¶

189–190.) For the third element, the

Amended Complaint alleges that the defendants “[failed] to credit payments made . . . to [NewRez]’s legal representative”; “[failed] to properly apply payments made to Selene”; “[rejected] payments without justification while continuing to assess interest and fees”; assessed unauthorized “fees, late charges, and corporate advances”; “[provide] materially inaccurate payoff statements”; and “[initiated] . . . foreclosure proceedings based on default amounts derived

from inaccurate, incomplete, or unreconciled loan servicing records.” (AC, ¶ 192; see also AC, ¶ 15, alleging that “each Defendant was the agent . . . of each other Defendant[] and

was acting within the course and scope of such agency. . . .”) For the fourth element, the Fongs allege that they suffered damages of “[l]oss of use of funds”; an “[i]ncreased loan balance”; and interest, fees, and costs for investigation and filing

expenses. (AC, ¶ 194.) For the requirement that the specific terms or legal effect of the terms of a written contract be pled, the Amended

Complaint alleges that the agreement specified that “payments received shall be

applied” in a particular order, that “[t]he lender or servicer may collect only those fees and charges expressly authorized” by the agreement or by law, that the Fongs are “entitled to receive statements and payoff information that accurately reflect the loan balance, that the defendants are required to “provide accurate payoff information upon request,” and that “[f]oreclosure may proceed only upon default in amounts lawfully due under the Loan.” (AC, ¶¶ 182–187.) Thus, the court finds the Amended Complaint alleges sufficient facts for each element of breach of contract.

Therefore,
the demurrer to the fourth cause of action is OVERRULED.

Fifth

Cause of Action: Breach of the Implied Covenant of Good Faith and Fair Dealing

NewRez

and U.S. Bank argue that the Amended Complaint fails to state sufficient facts to support a cause of action for breach of the implied covenant of good faith and fair dealing. The court disagrees.

“In

California, the factual elements necessary to establish a breach of the covenant of good faith and fair dealing are: (1) the parties entered into a contract; (2) the plaintiff fulfilled his obligations under the contract; (3) any conditions precedent to the defendant’s performance occurred; (4) the defendant unfairly interfered with the plaintiff’s rights to receive the benefits of the contract; and (5) the plaintiff was harmed by the defendant’s conduct.” (Rosenfeld v. JPMorgan Chase Bank, Nat. Assn. (N.D. Cal. 2010) 732 F.Supp.2d 952, 968, citing CALJIC No. 325.) “A breach of the implied covenant of good faith and fair dealing involves something beyond breach of the contractual duty itself and it has been held that bad faith implies unfair dealing rather than mistaken judgment.” (Careau & Co. v. Security Pacific Business Credit, Inc. (1990) 222 Cal.App.3d 1371, 1394.) “If the allegations do not go beyond the statement of a mere contract breach and, relying on the same alleged acts, simply seek the same damages or other relief already claimed in a companion contract cause of action, they may be disregarded as superfluous as no additional claim is actually stated. . . .

[T]he only justification for asserting a separate cause of action for breach of the implied covenant is to obtain a tort recovery.” (Id. at 1394–1395.) To recover in tort for breach of the implied covenant, the defendant must “have acted unreasonably or without proper

cause.” (Id. at 1395, cleaned up.)

For

the first element, the Amended Complaint alleges that the Fongs “entered into a written Promissory Note and Deed of Trust . . . secured by the Property,” which is “a valid and enforceable contract.”

(AC, ¶¶ 179–180, 197–198.) Even

though the Amended Complaint does not specifically allege that NewRez and U.S. Bank initially contracted with the Fongs, it alleges that the loan servicers “accept[ed] assignment of the Loan” and “assumed contractual and agency duties. . . .” (AC, ¶ 181; see Fox, supra,

185 Cal.App.4th at 1078, requiring the court to accept all well-plead facts as true.) For the second and third elements,

the Fongs allege that they “made payments . . . to [NewRez]’s legal representative” and “tendered funds under protest.” (AC, ¶¶ 189–190.) For the fourth and fifth elements, the Amended Complaint alleges that the defendants frustrated the Fongs’ rights to receive benefits under the agreement by “[r]efusing or failing to properly apply payments tendered”; “[c]reating or maintaining internal accounting discrepancies that prevented determination of the true amount owed”; “[i]ssuing materially contradictory payoff statements within a short time period without reconciliation or explanation”; “[i]nitiating . . . foreclosure activity without first ensuring that the Loan balance was accurate and supported by reliable records”; “[r]ejecting or impeding [the Fongs]’ efforts to pay down principal while simultaneously asserting default”; and “[f]ailing to timely apply post-confirmation bankruptcy trustee disbursements to the Loan balance and instead maintaining those funds in a suspense account or otherwise unapplied.” (AC, ¶ 204.)

Thus, the Amended Complaint alleges sufficient facts for each element of breach of the implied covenant of good faith and fair dealing.

Therefore,

the demurrer to the fifth cause of action is OVERRULED.

Sixth

Cause of Action: Negligence

NewRez

and U.S. Bank argue that the Amended Complaint fails to state sufficient facts to support a cause of action for negligence.

The court disagrees.

To

state a claim for negligence, a plaintiff must allege (1) the existence of a legal duty of care, (2) breach of that duty, and (3) proximate cause resulting in an injury. (McIntyre v.

Colonies-Pacific, LLC (2014) 228 Cal.App.4th 664, 671.)

For

the first element, the Amended Complaint alleges that the defendants owed the

Fongs a duty “to exercise reasonable care in servicing the Loan and in maintaining and communicating loan account information.” (AC, ¶ 210.)

NewRez and U.S. Bank contend that a financial institution and a loan

servicer owe no duty to a borrower pursuant to Sheen v. Wells Fargo Bank. (See Dem. Brief, p. 19, citing Sheen v. Wells Fargo Bank, Nat. Assn. (2022) 12 Cal.5th 905, 915.) However, under Sheen, the California

Supreme Court only held that there is no duty to “process, review[,] and respond carefully and completely to [a borrower’s] loan modification application.” (See Sheen, supra,

at 915.) Outside of that context, the

California Supreme Court did not hold that a financial institution or loan servicer could not owe a borrower any duty.

For the second element, the Fongs allege that the defendants “[failed] to maintain a reconciled and internally consistent loan ledger”; “[created] fictitious payment entries”; issued “mutually inconsistent escrow activity histories across both servicing platforms,” “materially contradictory payoff statements,” and “contradictory IRS [f]orms”; “[failed] to generate and maintain required monthly statements for critical periods”; and “[recorded] foreclosure documents without verifying that the underlying loan balance was accurate and supported by reliable records. . . .” (AC, ¶ 215.)

For the third element, the Amended Complaint alleges that the breach of duty prevented the Fongs from paying the loan, triggering foreclosure risk, and causing financial harm. (See AC,

¶¶ 217–219.) Thus, the Amended Complaint alleges sufficient facts for each element of negligence.

Therefore,

the demurrer to the sixth cause of action is OVERRULED.

Seventh

Cause of Action: Negligent Misrepresentation and Eighth Cause of Action: Fraud

by Intentional Misrepresentation

NewRez

and U.S. Bank argue that the Amended Complaint fails to state sufficient facts to support a cause of action for fraud.

The court agrees.

The

elements of fraud are (1) a misrepresentation (false representation, concealment, or nondisclosure); (2) scienter or knowledge of its falsity; (3) intent to induce reliance; (4) justifiable reliance; and (5) resulting damage. (Compare *Hydro-Mill Co., Inc. v. Hayward, Tilton & Rolapp Ins. Associates, Inc.* (2004) 115 Cal.App.4th 1145, 1154, describing the elements of negligent misrepresentation, with *Daniels v. Select Portfolio Servicing, Inc.* (2016) 246 Cal.App.4th 1150, 1166, describing the elements of intentional misrepresentation.) The facts constituting the alleged fraud must be alleged factually and specifically as to every element of fraud, as the policy of “liberal construction” of the pleadings will not ordinarily be invoked. (*Lazar v. Super. Ct.* (1996) 12 Cal.4th 631, 645.) To properly allege fraud against a corporation, the plaintiff must plead the names of the persons allegedly making the false representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written. (*Tarmann v. State Farm Mutual Automobile Ins. Co.* (1991) 2 Cal.App.4th 153, 157.)

For

the first element, the Amended Complaint alleges that the defendants’ representations include payment receipts, payoff statements, IRS forms, and representations about mailed monthly statements. (See AC, ¶¶ 223, 232–234, 238.) For the second element, the Fongs allege that the defendants knew the representations were false or had ground to believe they were not true because the defendants’ “internal loan ledger had not been reconciled”; their “[i]nternal balances were inconsistent”; “[s]uspense balances fluctuated dramatically without documented explanation”; the “[e]scrow ledger contained manufactured entries across both servicing platforms”; and “IRS Forms 1098 reporting figures conflicted with payoff statements.” (AC, ¶ 225; see also AC, ¶ 233, 263.) For the third and fourth elements, the Amended Complaint alleges that the defendants intended for the Fongs to rely on the representations, and reliance was justified because the defendants were the authorized servicer and beneficiary with exclusive control of the accounting

records. (See AC, ¶¶ 227–228, 235, 270, 272.) For the fifth element, the Fongs allege that they “[d]elayed tendering full payoff funds pending reconciliation”; “[t]endered funds under protest”; and “[i]ncurred bankruptcy filing expenses.” (AC, ¶ 229; see also AC, ¶ 275.) Thus, the Amended Complaint alleges sufficient facts for each element of fraud.

Since NewRez and U.S. Bank are business entities, the Amended Complaint should also allege the names of the persons who made the alleged false representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written. (See Tarmann, *supra*, 2 Cal.App.4th at 157.) The Fongs allege with sufficient particularity facts about the misrepresentations themselves and what was said and written. (See AC, ¶¶ 223, 232–234, 238.) However, the Amended Complaint fails to allege facts about the names of the persons who made the misrepresentations and their authority to speak on behalf of NewRez and U.S. Bank. Thus, the court finds the Amended Complaint fails to allege sufficient facts to assert causes of action for fraud against corporations.

Therefore,
the demurrer to the seventh and eighth causes of action is SUSTAINED WITH
LEAVE TO AMEND

Ninth

Cause of Action: Accounting

NewRez

and U.S. Bank argue that the Amended Complaint fails to state sufficient facts to support a cause of action for accounting.

The court agrees.

“A

cause of action for an accounting requires a showing that a relationship exists between the plaintiff and defendant that requires an accounting, and that some balance is due the plaintiff that can only be ascertained by an accounting. An action for accounting is not available where the plaintiff alleges the right to recover a sum certain or a sum that can be made certain by calculation.” (Tesselle v. McLoughlin (2009) 173 Cal.App.4th 156, 179, cleaned up.)

The

Fongs contend that “the accounts are so complicated that an ordinary legal action is inadequate.” (Opp. Dem., p.

11; see also AC, ¶ 296.) Even so,

“[n]o California decision holds that the existence of a complicated accounting relationship between parties by itself permits the maintenance of a lawsuit

between them when no money is owed or property must be returned.” (Union Bank v. Super. Ct. (1995) 31 Cal.App.4th 573, 594.) According to the

Fongs, they “allege that payments were made and not credited and dispute whether any sum is owed at all.” (Opp.

Dem., p. 12.) However, the Amended

Complaint does not dispute whether the Fongs owe a sum at all; it seeks “to correct the Loan records and determine [the Fongs’] proper obligations.” (AC, ¶ 301.)

In other words, the Amended Complaint does not allege that the

defendants owe the Fongs an uncertain sum or that the Fongs may not owe the defendants any sum at all; instead, it alleges that the Fongs owe an uncertain sum.

Therefore,

the demurrer to the ninth cause of action is SUSTAINED WITH LEAVE TO AMEND.

Tenth

Cause of Action: Declaratory Relief

NewRez

and U.S. Bank argue that the Amended Complaint fails to state sufficient facts to support a cause of action for declaratory relief. The court disagrees.

“To

qualify for declaratory relief, a party would have to demonstrate its action presented two essential elements: (1) a proper subject of declaratory relief, and (2) an actual controversy involving justiciable questions relating to the party's rights or obligations.” (Jolley

v. Chase Home Finance, LLC (2013) 213 Cal.App.4th 872, 909, cleaned up.) “[T]here is no basis for declaratory relief where only past wrongs are involved.” (Osseous

Technologies of America, Inc. v. DiscoveryOrtho Partners LLC (2010) 191 Cal.App.4th 357, 366, cleaned up.)

Courts may also decline to exercise their power of declaratory relief

“in any case where its declaration or determination is not necessary or proper

at the time under all the circumstances.”

(Code Civ. Proc., § 1061.)

As

stated above, the Amended Complaint alleges that the Fongs owe an uncertain sum to the defendants. (See AC, ¶ 301; see also AC, ¶¶ 303, 305–309.) While this may not serve as the basis for an accounting claim, it satisfies both elements for a claim for declaratory relief.

Therefore,

the demurrer to the tenth cause of action is OVERRULED.

Eleventh

Cause of Action: Unfair Business Practices

NewRez

and U.S. Bank argue that the Amended Complaint fails to state sufficient facts to support a cause of action for unfair business practices. The court agrees.

A

claim for unfair business practices requires a plaintiff to establish that the defendant engaged in an “unlawful, unfair[,] or fraudulent business act or practice and unfair, deceptive, untrue[,] or misleading advertising.” (Bus. & Prof. Code, § 17200.) In 2004, California passed Proposition 64,

which “eliminate[s] standing [to bring claims under Section 17200 of the Business and Professions Code] for those who have not engaged in any business dealings with would-be defendants and thereby strip[s] such unaffected parties of the ability to file ‘shakedown lawsuits,’ while preserving for actual victims of deception and other acts of unfair competition the ability to sue and enjoin such practices.” (Kwikset

Corp. v. Super. Ct. (2011) 51 Cal.4th 310, 317; see also Prop. 64, §

1.) “To satisfy the narrower standing

requirements imposed by [Proposition 64], a party must now (1) establish a loss or deprivation of money or property sufficient to qualify as injury in fact, i.e., economic injury, and (2) show that the economic injury was the result of, i.e., caused by, the unfair business practice or false advertising that is the gravamen of the claim.” (Kwikset

Corp., supra, at 322.) A

plaintiff fails to satisfy the causation prong of the statute if they would have suffered “the same harm whether or not a defendant complied with the

law.” (Daro v. Super. Ct. (2007) 151 Cal.App.4th 109, 1099.) A cause of action for unfair competition “is not an all-purpose substitute for a tort or contract action.” (Cortez v. Purolator Air Filtration Products Co. (2000) 23 Cal.4th 163, 173.)

For

the first element, the Amended Complaint alleges that the Fongs suffered economic injuries, including “improper fees and charges; unsupported interest and corporate advances; costs to prevent foreclosure; bankruptcy-related expenses; and impairment of property rights and equity, including exposure to wrongful foreclosure and clouded title.”

(AC, ¶ 314.) Even if there was no foreclosure sale, the Fongs’ allegations are sufficient to demonstrate economic injury.

For

the second element, the Amended Complaint proposed three alternative theories of liability. Under the unfair prong,

the Fongs fail to allege conduct that threatens an incipient violation of antitrust law, violates the policy or spirit of an antitrust law, or violates a public policy tethered to specific constitutional, statutory, or regulatory provisions. (See Byars v. SCME

Mortgage Bankers (2003) 109 Cal.App.4th 1134, 1147; see also Scripps Clinic v. Super. Ct. (2003) 108 Cal.App.4th 917, 940.) Under the unlawful prong, the Amended Complaint cites alleged violations of the Homeowner’s Bill of Rights, but as the court noted above, the Fongs lack standing to bring a claim under that statute. (See AC, ¶ 315.) Under the fraudulent prong, the Fongs allege that the defendants’ conduct is likely to deceive the public, but as the court noted above, the Fongs fail to allege fraud against NewRez and U.S. Bank with the requisite particularity. (See AC, ¶ 317.) Thus, the Amended Complaint fails to allege sufficient facts for each element of unfair business practices.

Therefore,

the demurrer to the eleventh cause of action is SUSTAINED WITH LEAVE TO AMEND.

LEAVE

TO FILE SECOND AMENDED COMPLAINT

Since

the court sustains the demurrer to the Amended Complaint with leave to amend,
the court deems the motion for leave to file second amended complaint as MOOT.

CONCLUSION

For

these reasons, the demurrer to first amended complaint is SUSTAINED IN PART WITH
TWENTY (20) DAYS LEAVE TO AMEND as to the specific demurrers to the first,
second, seventh, eighth, ninth, and eleventh causes of action and OVERRULED IN
PART as to the general demurrers and as to the specific demurrers to the third,
fourth, fifth, sixth, and tenth causes of action.

The

motion for leave to file second amended complaint is deemed MOOT.